

The Game CHANGER

It could be the rebirth of Satyam but huge challenges lie ahead for the new owners

| By Malini Bhupta |

The sordid saga of Satyam is finally over. Customers and employees of what used to be India's fourth largest software services firm can breathe easy now, as the new board of Satyam has found a perfect suitor in Tech Mahindra. The three wise men—Deepak Parekh, C.K. Achuthan and Kiran Karnik—appointed by the Government to oversee the beleaguered company's affairs have pulled off a feat of sorts because Satyam will live to see another day. Says Karnik, a Satyam board member: "In many ways, I would say today marks the rebirth of Satyam." Merely four months after its founder B. Ramalinga Raju admitted to fudging the books, Satyam's new board has managed to salvage the company despite all odds.

The board, which kicked off a global competitive bidding process in March, selected Venturbay Consultants, a subsidiary of Tech Mahindra, as it emerged as the highest bidder at Rs 58 per share. Larsen and Toubro (L&T) and Wilbur Ross, the other two bidders, came up with bids of Rs 45.50 and Rs 20 respectively, giving Tech Mahindra a clear lead. While the deal awaits the approval of the Company Law Board, Tech Mahindra will have to pay Rs 1,756 crore for the 31 per cent allotment of preferential shares in the next few days.

Satyam's acquisition marks the entry of Tech Mahindra, which has so far focused on the telecom vertical, into other verticals such as financial services, healthcare and manufacturing. Tech Mahindra has only had a

ANAND MAHINDRA (LEFT) AND TECH MAHINDRA VICE-CHAIRMAN AND MD VINEET NAYYAR INTERACTING WITH THE MEDIA ON THE ACQUISITION



"We have taken a calculated risk"



"In many ways, I would say today marks the rebirth of Satyam."

KIRAN KARNIK, member, Satyam board

presence in Europe, with 60 per cent of its Rs 4,463-crore revenues coming from British Telecom. No wonder, Anand Mahindra, chairman of Tech Mahindra, calls this acquisition a "game changer" as it gives the company much-needed diversification. Over the next few days, Tech Mahindra will have to deposit the initial subscription amount of Rs 1,756 crore, along with Rs 1,132 crore for the open offer to the public. The company has been given four working days to arrange the requisite funds, which it is likely to raise through debt or a private equity player. At this point of time, the company has Rs 700 crore in cash sitting in Tech Mahindra's books. Says Raamdeo Agarwal, director and co-founder of Motilal Oswal: "At Rs 3,000 crore, Tech Mahindra is paying a fair price for an asset like Satyam, even though little is known about its liabilities."